Practice workbook · Spotting the concept behind an accounting treatment

Spotting the concept behind a business practice or year-end adjustment: valuing inventory, keeping one depreciation method, expensing small items, keeping private spending out of the business, leaving staff skills off the statement of financial position, and the concepts behind depreciation, debt provisions, write-offs and accruals.

21 question parts: 1 worked-example retry and 20 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ENV-04

1. Question 14 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

14 (a) State **two** purposes of preparing a trial balance.

(2)

1 .....

2 .....

(b) State **one** difference between:

(i) an error of commission and an error of principle

(2)

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(ii) an error of original entry and an error of omission.

(2)

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(c) Identify, indicating with a tick (✓), where each account balance would be shown in a trial balance.

(4)

Account	Trial balance	
	Debit $	Credit $
Carriage inwards		
Carriage outwards		
Returns inwards		
Returns outwards		

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1. Question 14 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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(d) Identify which principle of professional ethics is being described.

(2)

	Principle of professional ethics
Accountants must operate in a straightforward and honest manner.	
Accountants must be free from bias or conflict of interest.	

(e) Identify which accounting concept is being applied in **each** scenario.

(3)

Scenario	**Accounting concept**
A trader uses the same method of depreciation each year.	
A trader makes an adjustment in the financial accounts for amounts paid in advance.	
A trader records the purchase of an item of stationery as a business expense.	

(Total for Question 14 = 15 marks)

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1. Question 14 · part e · 3 marks · Working and answer

Working and answer

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2. Question 17 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 (a) Complete the corrected trial balance.

(9)

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft	1 830			
Carriage inwards		710		
Carriage outwards	1 220			
Discount allowed		420		
Discount received		300		
Drawings		6 200		
Equity		16 600		
General expenses	5 950			
Inventory	5 350			
Irrecoverable debts		250		
Non-current assets – accumulated depreciation		5 900		
Non-current assets – cost	15 050			
Purchases	34 280			
Rent and rates	3 650			
Returns inwards		530		
Returns outwards		980		
Revenue		65 570		
Trade payables	3 510			
Trade receivables		2 180		
Wages	18 900			
Total				

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2. Question 17 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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(b) Identify the accounting concept being applied in each of the following scenarios.

(2)

Scenario	Accounting concept
A computer purchased for personal use should be charged to drawings.	
The purchase of a new calculator for $40 should not be charged to non-current assets.	

(c) Complete the table by indicating with a tick (✓) in which section of the financial statements each cost would be shown.

(4)

Item	Expense	Income	Current asset	Current liability
Irrecoverable debts				
Provision for irrecoverable debts				
Provision for irrecoverable debts – decrease				
Provision for irrecoverable debts – increase				

(Total for Question 17 = 15 marks)

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Working and answer

3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

14 (a) State **two** reasons for maintaining a petty cash book.

(2)

1 .....

.....

2 .....

.....

Jonny maintains a petty cash book with a float of $150

During January 2019 the following petty cash transactions took place.

January	Voucher Number	Transaction	$
2	101	Purchased postage stamps	11.50
8	102	Paid travel expenses to sales manager	22.50
15	103	Paid to John, a trade payable	35.00
22	104	Purchased coffee, tea and sugar	17.75
26	105	Purchased postage stamps	8.50
31	106	Paid cleaner's wages	15.00
31		Restored float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 January 2019.

Balance the petty cash book on that date and bring the balance down on 1 February 2019.

(11)

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3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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Petty Cash Book

Receipts $	Date 2019	Details	Voucher number	Payments $	Cleaning $	Postage $	Refreshments $	Travel $	Ledger Accounts $

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3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(c) State which accounting concept has not been applied in each scenario.

(2)

Scenario	Accounting concept
Jonny charged a private lunch to refreshments in the petty cash book.	
Jonny purchased a new sweeping brush for $10 and charged it to non-current assets.	

(Total for Question 14 = 15 marks)

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Working and answer

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4. Question 4 · part whole · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part whole only.

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4 Inventory should be valued at the lower of cost or net realisable value.

Which accounting concept is this an application of?

- ☐ **A** Accruals
- ☐ **B** Consistency
- ☐ **C** Materiality
- ☐ **D** Prudence

(Total for Question 4 = 1 mark)

Working and answer

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5. Question 2 · part whole · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

2 The skills and knowledge of a workforce is **not** shown as an asset in the financial statements.

Which accounting concept is being applied?

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Money measurement

(Total for Question 2 = 1 mark)

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Working and answer

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6. Question 3 · part whole · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

3 A business always uses the reducing balance method of depreciation.

Which accounting concept is being applied?

- ☒ **A** Accruals
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 3 = 1 mark)

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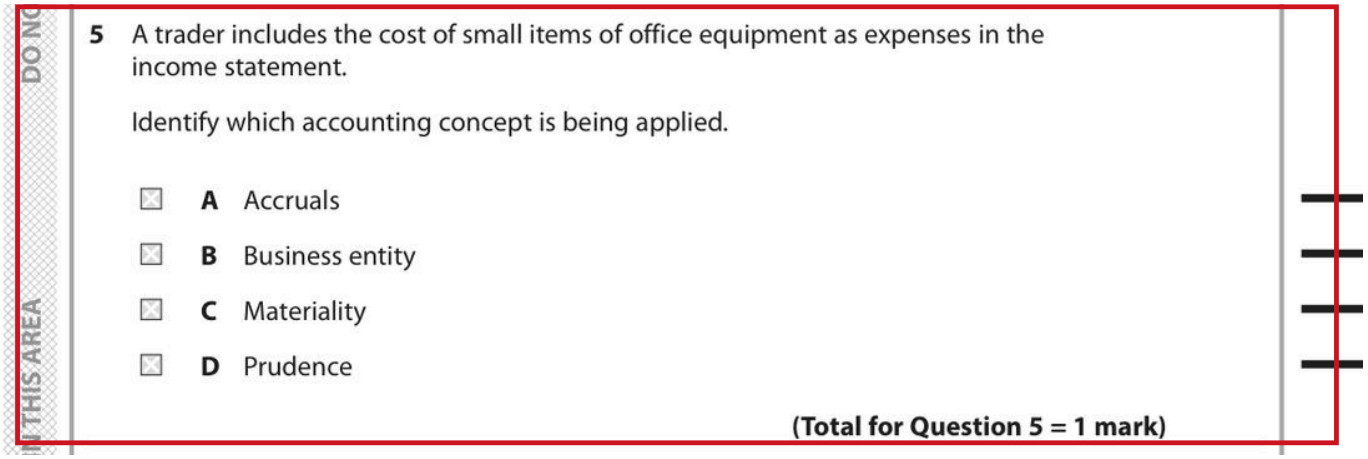
Working and answer

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7. Question 5 · part whole · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part whole only.



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5 A trader includes the cost of small items of office equipment as expenses in the income statement.

Identify which accounting concept is being applied.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 5 = 1 mark)

Working and answer

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8. Question 4 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.

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4 Inventory should be valued at the lower of cost and net realisable value.

Identify which accounting concept this is an application of.

- ☒ **A** Accruals
- ☒ **B** Consistency
- ☒ **C** Money measurement
- ☒ **D** Prudence

(Total for Question 4 = 1 mark)

Working and answer

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

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(ii) Balance on the provision for irrecoverable debts account

(1)

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(Total for Question 17 = 15 marks)

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Working and answer

10. Question 17 · part a.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.ii only.

17 Jack provided the following information for the year ended 30 April 2023.

1 May 2022	Stationery account balance $250
10 May 2022	Purchased stationery, $80, paying by cheque.
17 May 2022	Returned stationery, $15, refund received by cheque.
29 August 2022	Jack took stationery, $25, for his personal use.
30 April 2023	Closing stationery was valued at $190

(a) (i) Prepare the stationery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(7)

Stationery Account

Date	Details	$	Date	Details	$

(ii) State the accounting concept that applies when taking stationery for personal use.

(1)

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10. Question 17 · part a.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.ii only.

On 1 May 2022 insurance paid in advance was $360

On 1 July 2022, insurance, $1980, was paid by cheque. This covered the twelve month period ending 30 June 2023.

(b) (i) Prepare the insurance account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(5)

Insurance Account

Date	Details	$	Date	Details	$

(ii) Explain, referring to an accounting concept, why it was necessary to adjust for the amount paid in advance on 30 April 2023.

(2)

Accounting concept

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Explanation

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(Total for Question 17 = 15 marks)

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10. Question 17 · part a.ii · 1 mark · Working and answer

Working and answer

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11. Question 10 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

10 Identify the accounting concept being applied when a trader always uses the same method of depreciation.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Consistency
- ☒ **D** Materiality

(Total for Question 10 = 1 mark)

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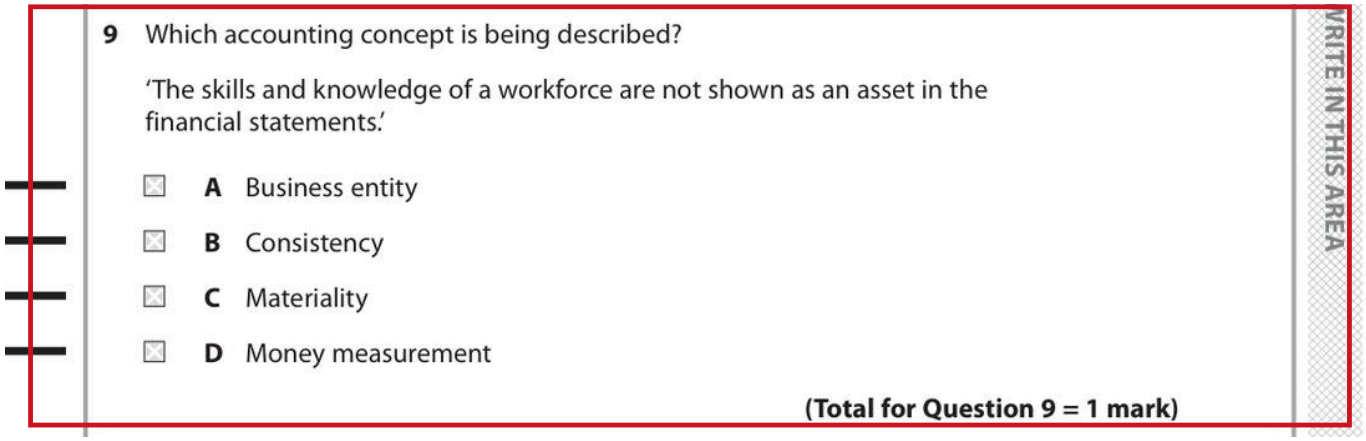
Working and answer

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12. Question 9 · part whole · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part whole only.



9 Which accounting concept is being described?

'The skills and knowledge of a workforce are not shown as an asset in the financial statements.'

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Money measurement

(Total for Question 9 = 1 mark)

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Working and answer

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13. Question 16 · part b · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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13. Question 16 · part b · 2 marks · Working and answer

Working and answer

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14. Question 18 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

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22

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14. Question 18 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

On 1 April 2018 Rafiq purchased a motor vehicle at a cost of $48 000

On 1 December 2020 Rafiq sold the motor vehicle to Bilal for $28 000. One half of the sale proceeds were received by bank transfer on that date and the balance was to be paid on 30 June 2021.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Rafiq prepares financial statements to 31 January.

(d) (i) Calculate the carrying value of the motor vehicle at 1 December 2020.

(2)

(ii) Prepare the motor vehicle disposal account.

(6)

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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14. Question 18 · part c · 1 mark · Working and answer

Working and answer

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15. Question 13 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

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(Total for Question 13 = 5 marks)

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Working and answer

16. Question 17 · part b · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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16. Question 17 · part b · 2 marks · Working and answer

Working and answer

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17. Question 13 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

13 (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

(1)

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

(2)

	Income statement		Statement of financial position	
	Income	**Expenses**	**Current assets**	**Current liabilities**
Decrease in provision for irrecoverable debts				
Balance of provision for irrecoverable debts account				

(Total for Question 13 = 5 marks)

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Working and answer

18. Question 18 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

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.....

2 .....

.....

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Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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18. Question 18 · part a · 1 mark · Working and answer

Working and answer

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19. Question 9 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

9 Identify the accounting concept of which the recording of other payables and receivables is an application.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Money measurement
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

Working and answer

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20. Question 2 · part a · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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20. Question 2 · part a · 3 marks · Working and answer

Working and answer

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

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(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

(Total for Question 1 = 25 marks)

21. Question 1 · part e · 2 marks · Working and answer

Working and answer

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